CALDERA

CONSULTING GROUP

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INTERNAL — FINANCE

HIGHLY CONFIDENTIAL — ATTORNEYS' EYES ONLY

MEMORANDUM

TO: Revenue Recognition Committee

FROM: Howard Behrens, Managing Director, Industrial Markets

DATE: December 27, 2024

RE: Recognition of milestone M5 — Northbridge Industries (Project Keystone)

Recommendation

Recognise $1,100,000 in the quarter ending December 31, 2024 in respect of milestone M5 under Statement of Work CCG-SOW-2024-0417-001.

Basis

Milestone M5 is defined at Appendix C as "Go-Live Readiness Certification issued pursuant to Section 4.2." The performance obligation is the issuance of the assessment, not the outcome it reaches and not the go-live itself.

The Go-Live Readiness Assessment version 1.0 was issued on December 20, 2024. The client's Steering Committee accepted it the same day and resolved to proceed. The client did not reject the deliverable within the fifteen business day acceptance period and it is accordingly accepted, whether expressly or under Section 7.6.

The invoice was raised on December 23, 2024 and is within terms.

Risk

The only circumstance in which recognition would need to be revisited is one in which the deliverable is subsequently determined not to have been validly issued. Counsel has confirmed no such determination is anticipated.